25900798 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Discipline Specific Core Course (DSC) - MG1DSCECO100 - ESSENTIALS OF ECONOMICS-I

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Questions

Answer any **10** out of **15** Questions

Each Question carries **2** marks

1. Why economics could be considered as a science? [U] / [CO1]
2. Define Tariff. [K] / [CO5]
3. Recall what happens to the tax burden when demand is perfectly inelastic. [K] / [CO4]
4. Define Comparative Cost Advantage. [U] / [CO5]
5. What causes market failure? [U] / [CO4]
6. State how trade can support human rights and labor standards. [U] / [CO5]
7. What is the role of policy makers in achieving economic stability? [U] / [CO1]
8. Define bargaining power [K] / [CO5]
9. What is percentage method of measuring price elasticity of supply? [U] / [CO2]

10. What is meant by a price ceiling? [K] / [CO4]

11. What is Inflation? [K] / [CO1]

12. State and illustrate the measurement of consumer surplus using demand curve. [K] / [CO4]

13. Summarize the market changes when a tax is imposed on buyers versus when it is imposed on sellers. [U] / [CO4]

14. List out two features of competitive market. [K] / [CO2]

15. What does the subject matter of economics deal with? [K] / [CO1]

[10x2 = 20]

Part B

Short Essay Type Questions

Answer any **6** Questions

Each Question carries **5** marks

16. Describe the importance of the concept of elasticity of demand. [U] / [CO2, CO3]

17. Why do economists make assumptions ? [U] / [CO1]

18. Why does total surplus reach its maximum at market equilibrium? [U] / [CO4]

19. What happens to the equilibrium level when there is change in demand? [U] / [CO2]

20. Explain the three principles governing how people interact with one another. [U] / [CO1]

21. Discuss law of demand with suitable diagram. [U] / [CO2, CO3]

22. Define market equilibrium. How do the changes in demand and supply affect market equilibrium? [U] / [CO2]

23. Evaluate the potential losses experienced by importing countries as a result of international trade. [E] / [CO5]

24. Briefly explain the twin branches of Economics. [K] / [CO1]

25. Describe the relationship between sellers' costs, producer surplus, and the supply curve. [U] / [CO4]

26. What is a supply function? Draw a supply curve using a supply schedule? [U] / [CO2]

27. Apply the concept of tax incidence to evaluate how a tax on luxury goods (which have elastic demand) would affect both high-income and low-income consumers. [A] / [CO4]

28. Discuss cross elasticity of demand. [U] / [CO2, CO3]

29. Compare the benefits and drawbacks of protecting infant industries. [U] / [CO5]

30. Differentiate between positive and normative analysis. [U] / [CO1]

[6x5 = 30]